

Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis

Post-Merge supply mechanics • burn/issuance • staking economics •
long-run equilibrium

Current supply 121,603,980 ETH •
Base gas 0.1 Gwei • ETH \$2,243

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Current supply

121,603,980 ETH

7D net change

+19,445.89 ETH

Annualized supply growth

+0.83% / year

ETH (7D)



Offset ratio (burn ÷ issuance)

0.01x (~1% of issuance)

7D: 19,638.29 ETH issued vs 192.39 ETH burned

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

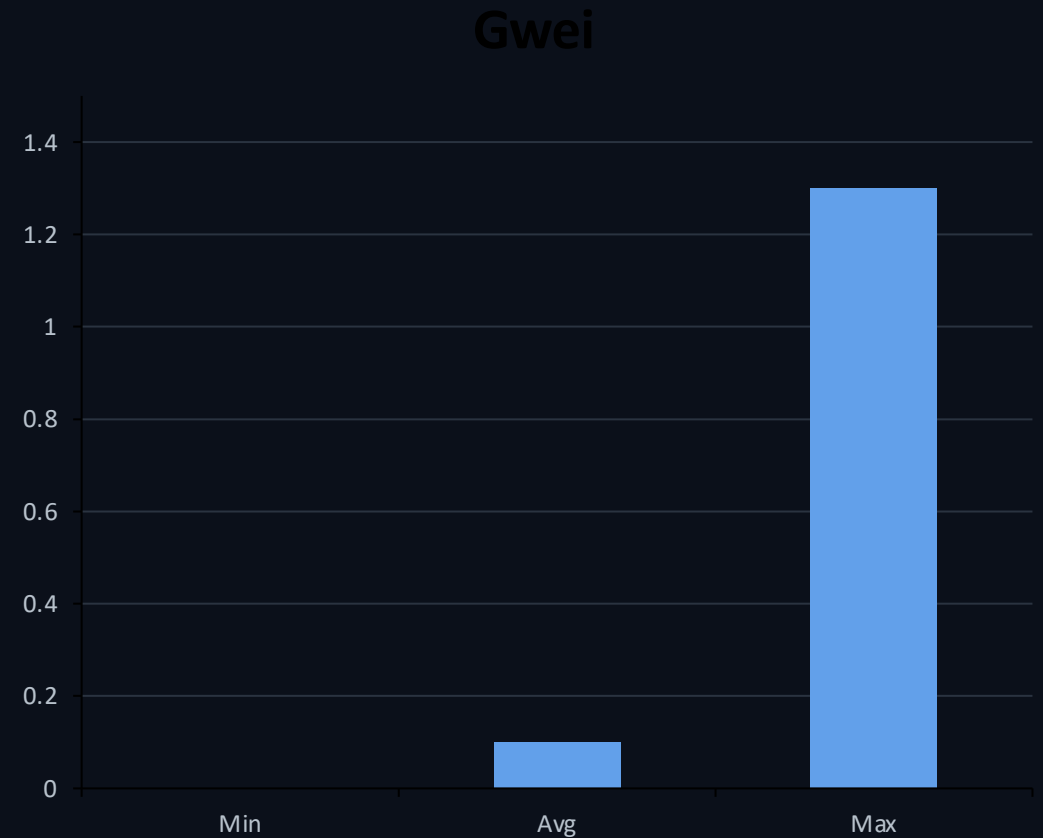
EIP-1559 burns the base fee; when gas is low, burn collapses.

7D gas: min 0.0 • max 1.3 • avg 0.1 Gwei (historic lows).

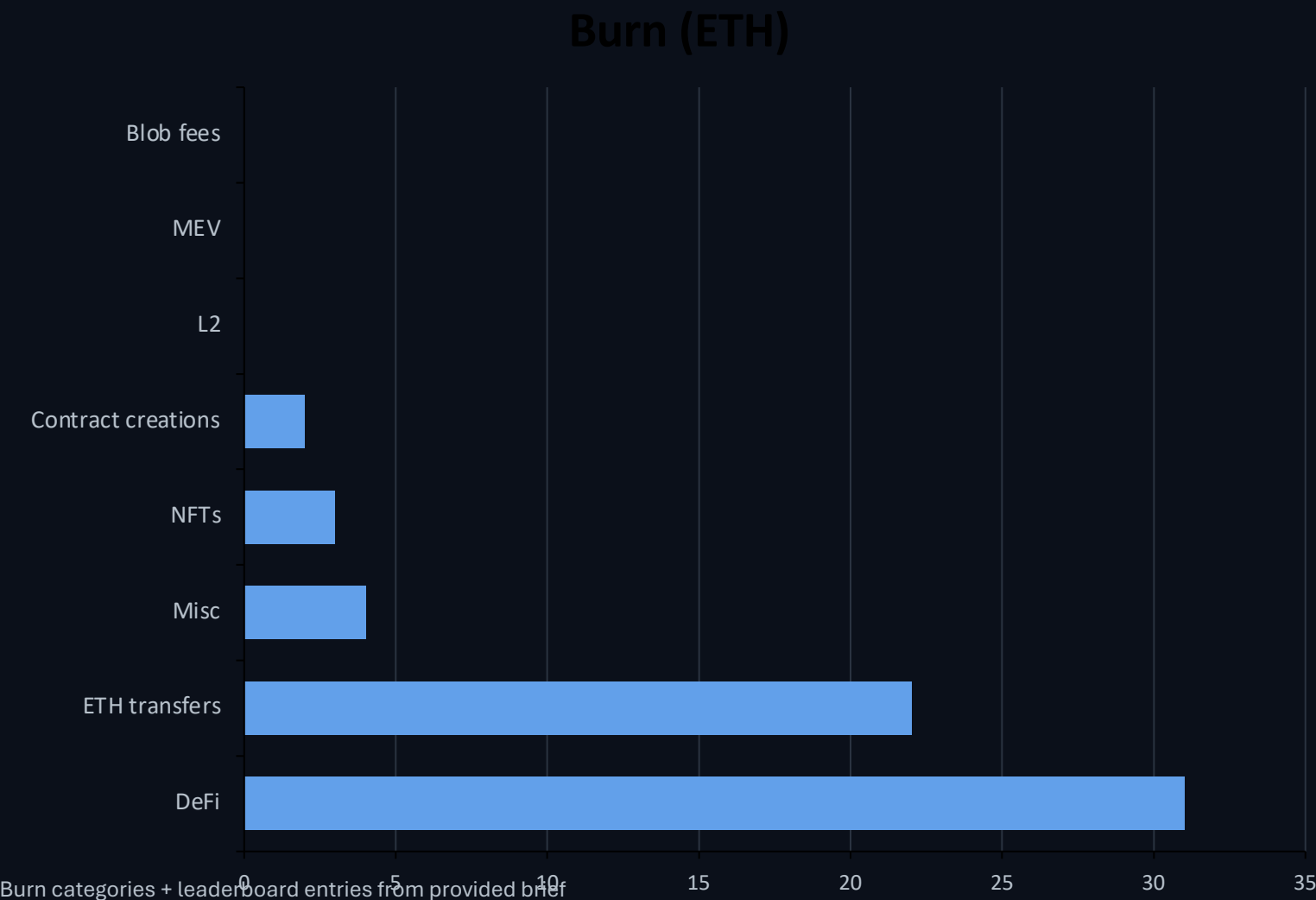
Blob gas avg 7,144,934 wei; only 0.15 ETH in blob fees burned over 7D.

Long-run projections assume 22 Gwei average base gas — far above today.

Implication: low activity → low burn → temporary supply inflation.



DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Burn leaderboard (7D)

ETH transfers: 21.74 ETH

Tether (USDT): 13.55 ETH

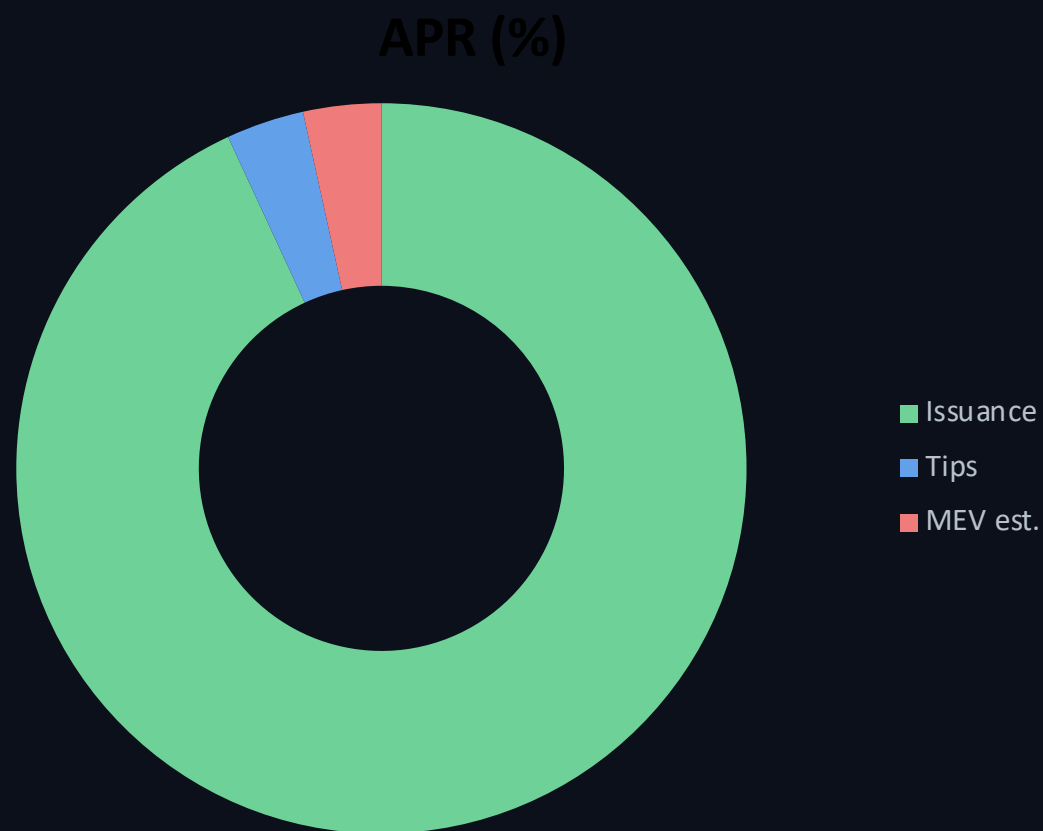
...plus various DeFi contracts (per brief)

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

ETH staked
38.9M ETH

Share of supply
~32%

Locked in staking contracts
9.1M ETH

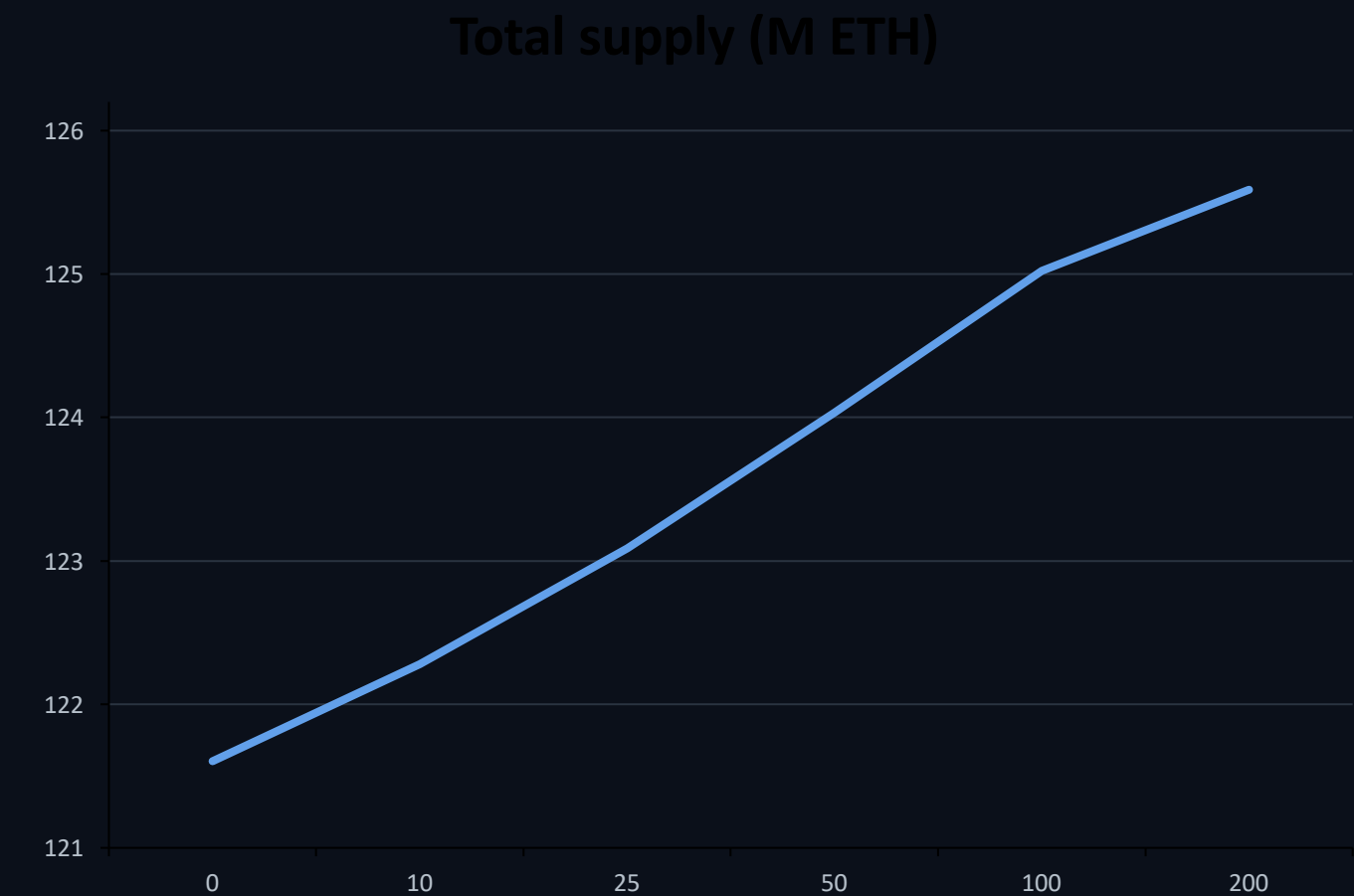


Validator rewards: issuance 2.7% APR; tips 0.1%; MEV estimate 0.1% (total ~2.9%).

Scarcity engine: 9.1M ETH locked for an average 10.7 years.

Post-merge: security budget shifts from mining issuance to staker issuance + fees.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance



Model assumptions (brief): 39M ETH staked; 22 Gwei average base gas.
At equilibrium: issuance and burn balance ~1,037K ETH/year.
Daily rates (brief): ~2.8K ETH/day PoS issuance vs ~2.2K ETH/day burn (normalized).
Era transitions: genesis (5 ETH/block) → Byzantium (3) → Constantinople (2) → London burn → Merge (PoW removed).

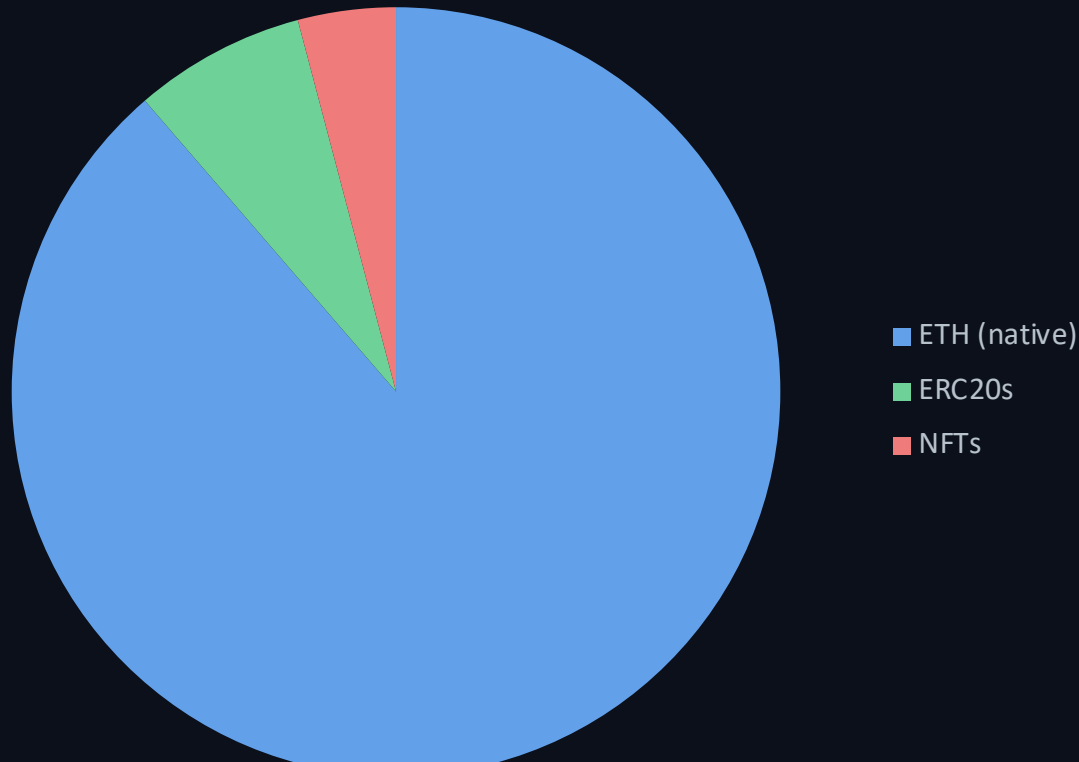
ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

BTC flipping
18.70%

Gold ratio
0.89%

USD ratio
1.30%

TVS (\$B)

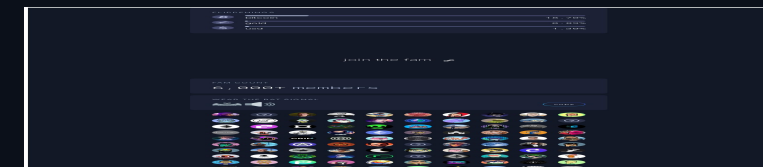


TVS breakdown (brief): ETH \$272.76B • ERC20s \$22.21B • NFTs \$12.66B (total ~\$307.6B).

Top ERC20s: Dai \$4.41B; SHIB \$3.51B; Cronos \$2.97B; Tether Gold \$2.65B.

Top NFTs: CryptoPunks \$2.13B; BAYC \$0.68B; ENS \$0.63B; Pudgy Penguins \$0.51B.

Flipping ratios + TVS composition from provided brief



Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

Today: mildly inflationary (+0.83%/yr) because gas is ~0.1 Gwei and 7D burn is only ~192 ETH.

Mechanism works: EIP-1559 burn scales with on-chain activity; low gas is the headwind.

Scarcity engine: 38.9M ETH staked (~32% of supply) + 9.1M ETH locked for ~10.7 years.

Long-run structure: projected convergence toward ~125.7M ETH equilibrium under 39M staked + 22 Gwei assumption.

Monetary premium is forming: ETH is 18.7% of BTC market cap and secures ~\$307.6B TVS.

Investor framing: ETH supply is an activity-weighted monetary asset — burn is the dial.